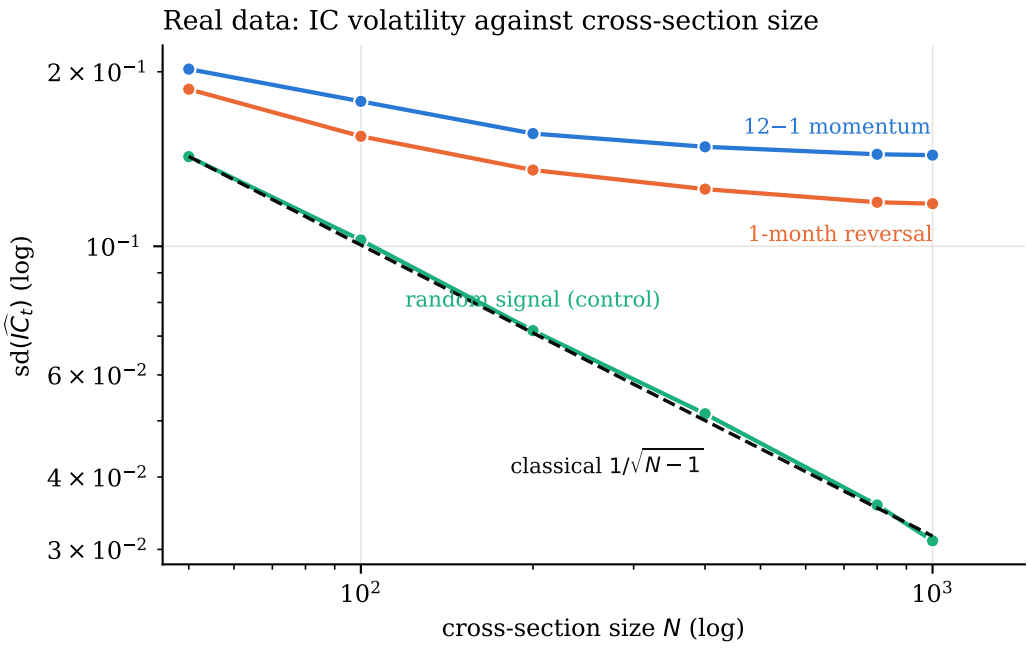
Real data: IC volatility against cross-section size
2×10^{-1}
10^{-1}
6×10^{-2}
4×10^{-2}
3×10^{-2}
$\mathrm{sd}(\widehat{IC}_t)$ (log)
12−1 momentum
1-month reversal
random signal (control)
classical $1/\sqrt{N-1}$
10^2
10^3
cross-section size N (log)